

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 22-31

TPG PRESSURE, INC.,
COMPLAINANT

v.

OMNI LOGISTICS, LLC, *et al.*,
RESPONDENTS.

**RESPONDENTS OMNI LOGISTICS, LLC’S AND EPIC FREIGHT
SOLUTIONS LLC’S RESPONSE IN OPPOSITION TO COMPLAINANT’S
MOTION TO COMPEL PRODUCTION OF DOCUMENTS AND FOR COSTS**

Respondent Omni Logistics, LLC and Respondent Epic Freight Solutions LLC (collectively, “Respondents”), through counsel, respectfully submit this Response in Opposition to Complainant’s Motion to Compel Production of Documents and for Costs (the “Motion”).

I. Introduction.

Complainant’s Motion is another desperate attempt to obtain irrelevant documents to which it is not entitled and which are not proportional to the needs of the case. The Motion belatedly seeks to compel the production of documents that Respondents first objected to the production of in June of 2023—more than four months ago—on the basis that they were, among other things, entirely irrelevant. Just as importantly, the Motion proves too much: Complainant concedes that it learned various information—which Complainant apparently believes is important—over the course of two depositions of each Respondents’ corporate representatives. Thus, Complainant has already had the opportunity to obtain through deposition testimony the discovery of information

that it now seeks in the form of documents and an interrogatory response. Complainant's Motion is yet another fishing expedition and should be denied.

II. Complainant's Delay in Seeking Certain Documents Demonstrates that the Documents are not Particularly Important, Let Alone Vital, to Complainant's Case.

As noted in the Motion, Respondents served their Objections and Responses to Complainant's Requests for Production and their Objections and Responses to Complainant's Interrogatories on June 22, 2023. For a period of two and a half months, Complainant did not address the purported deficiencies in Respondents' responses, until September 6, 2023, when Complainant's counsel sent a letter to Respondents' counsel demanding that certain documents be produced, including a range of documents relating to Omni's acquisition of Epic. Then, on September 18, 2023, Complainant agreed to limit the relevant discovery requests to "agreements between Epic and Omni that pertain to their work together in providing logistics services to customers and related services (such as billing) to each other." (See email attached hereto as Exhibit A.) In a meet and confer call among counsel for all parties on September 19, 2023, Complainant's counsel conceded that she "understood" Respondents' objections to producing sensitive commercial documents relating to the terms of the transaction between the two Respondents. In the depositions of Respondents' corporate representatives on September 28 and 29, Complainant had the opportunity to question Respondents about the relationship between Respondents for 14 hours. Indeed, as indicated in the Motion, Complainant did question Respondents on such topics extensively, eliciting responsive testimony.

The Presiding Officer's December 6, 2022 Initial Order provides that a "motion to compel should be filed as soon as practicable." (Initial Order, ¶ 11.) Here, Complainant did not file its motion to compel until four months after receiving Respondents' Objections and Responses to Complainant's Requests for Production. The Presiding Officer has denied motions to compel filed

under similar circumstances. For example, in *Y.S.N. Imports v. Oberlander, et al.*, Chief Administrative Law Judge Wirth denied a motion to compel, holding that:

[Complainant's] delay in filing the motion to compel suggests that these documents were not a priority and [complainant] had ample opportunity to obtain the information over the ten months that this case has been pending. As explained below, the parties have been provided multiple extensions throughout this proceeding and have been warned to proceed expeditiously. **If there were concerns about discovery responses received in October which would impact the ability to provide a timely expert report in January, those issues should have been raised earlier** [than December]. **At this late date, the motion to compel will be denied.**"

YSN Imports v. Oberlander, et al., Docket No. 21-02, 2022 WL 247912, at *2 (F.M.C.) (emphasis added).

Similarly, here, Complainant failed to raise its concerns in a timely manner. Complainant (1) waited two and a half months before even raising the purported deficiency with Respondents; (2) narrowed its request and agreed to limit the request to a more specific set of documents; (3) reversed its position after extensively deposing Respondents on the subject; and (4) now demands, again, that the documents be produced, four months after Respondents' original objections to production. Complainant has failed to demonstrate why, now, at this stage, the documents should be produced.

II. Complainant has had Ample Opportunity to Obtain the Discovery.

Complainant's Motion concedes that Complainant has already obtained the information it seeks through deposition testimony. Indeed, Complainant's Motion extensively quotes from and cites that deposition testimony. Complainant's desire to review the subject documents to "confirm" the testimony provided in depositions does not warrant the production of an otherwise irrelevant, commercially sensitive document.¹ Courts have rejected similar arguments, denying

¹ Similarly, the existence of the Agreed Protective Order does not entitle Complainant to receive *any* document, regardless of its relevance. Complainant's document requests still must meet the relevance threshold. Otherwise, a

motions to compel, for example, where “the information that [p]laintiff seeks should be readily obtainable through depositions . . . and [p]laintiff has not convincingly demonstrated that [depositions] would be ineffective[.]” See *Marshall v. Safeco Ins. Co. of Indiana*, No. CV 112-113, 2013 WL 12180600, at *7 (S.D. Georgia May 14, 2013) (rejecting plaintiff’s argument that “deposition testimony of [Defendant’s] witnesses is an insufficient substitute for the production of the documents when the accuracy and completeness of certain deposition testimony is itself at issue” because “Plaintiff has not supported that contention outside of broadly asserting it.”). Further, discovery cannot be proportional to the needs of the case where a party already has obtained the information it seeks from another source. Here, Complainant already has obtained deposition testimony on the subject it believes is relevant and indicates that it wants the acquisition documents to “confirm” what it already knows, which would make the request duplicative. *Apex Oil v. DiMauro*, 110 F.R.D. 490, 490 (S.D.N.Y.1985) (denying motion to compel where plaintiff had not “made an adequate showing of need” in support of its argument that “it needs the information in question to assess the accuracy and truthfulness of previously obtained deposition testimony.”).

Where Complainant makes no showing of any independent relevance to discovery of the acquisition documents beyond the purported need as to assess the truthfulness of the deponent, the motion to compel should be denied. *Caputi v. Topper Realty Corp*, No. 14–cv–2634 (JFB)(SIL), 2015 WL 2453520, at *7 (E.D.N.Y. May 22, 2015) (denying motion to compel production of documents where “Plaintiff’s deposition testimony on this issue, the veracity of which Defendants do not attack, makes [the subject] clear” and “Defendants provide[d] no evidence to the contrary.”); *Aaron v. Trump Organization, Inc.*, No. 8:09–cv–2493–T–23AEP, 2011 WL 1314153,

litigant could demand the production of virtually *anything* on the pretext that it will be subject to an Agreed Protective Order.

at *1 (M.D. Fla. June 2, 2011) (denying motion to compel production of documents based on the purported need “to explore the veracity of [defendant’s] deposition testimony in this case[.]”).

The Presiding Officer has denied motions to compel production where the moving party has “not identified specific problems with the detailed information provided” through another form of discovery. *OJ Commerce v. Hamburg Sudamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KH, et al.*, Docket No. 21-11, 2022 WL 5174084, at *4 (F.M.C. Sep. 30, 2022) (“[A]t this point in the proceeding, production of that information will not be required.”). Similarly, in *YSN*, the complainant sought the production of documents relating to “financial transactions” between the respondent and other entities that the complainant argued “are related to its allegations that [the respondent] unlawfully acted as for-profit and its alter ego/veil piercing allegations[.]” *YSN Imports*, Docket No. 21-02, 2022 WL 247912 at *2. The respondent “did not provide copies of the financial transactions” to the complainant and the Presiding Officer denied the motion to compel because, in part, “[complainant] did have the opportunity to depose [respondent] and question her about the financial statements.” *Id.*

Complainant’s vague and unspecified reference to “other relevant information”—that it theorizes *may* be contained in the requested documents—similarly does not warrant production. *See, e.g., MSRF, Inc. v. Yang Ming Transport Co.*, Docket No. 22-21, 2023 WL 2240482, at *13 (F.M.C. Feb. 24, 2023) (denying motion to compel where movant “failed to clarify what it was seeking through this RFD or how it is relevant to this proceeding,” and movant failed to “link the request to an allegation in the complaint or a defense.”). The fact that Complainant cannot provide any specificity about what “other relevant information” it hopes to obtain further demonstrates that its Motion is nothing more than a fishing expedition. *See Lakeview Pharm. of Racine, Inc. v. Catamaran Corp.*, 2017 U.S. Dist. LEXIS 163624, at *12 (M.D. Pa. Sep. 28, 2017) (“A party

seeking discovery bears the initial burden of demonstrating the requested discovery is relevant to its claims or defense.”).

III. Respondents’ Objections to Complainant’s Requests for Production have Merit.

Each of Respondents’ objections to the Requests for Production and Interrogatories are reasonable on relevance grounds, and Complainant’s Motion utterly fails to demonstrate why the requested documents and information are relevant. *See Meijer, Inc. v. Warner Chilcott Holdings Co., III, Ltd.*, 245 F.R.D. 26, 30 (D.D.C. Sept. 21, 2007) (“Once a relevancy objection has been raised, the party seeking discovery must demonstrate that the information sought to be compelled is discoverable.”). Complainant’s Request for Production No. 2 seeks eight broad categories of irrelevant and proprietary corporate records from both Respondents:

All documents and communications that establish the relationship between Respondents, including, but not limited to: (i) bylaws; (ii) articles of incorporation; (iii) meeting minutes; (iv) operating agreements; (v) agendas; (vi) summaries; (vii) organizational charts; and (viii) list of shareholders.

Respondents objected to this request as irrelevant, not proportional to the needs of the case, overly broad and unduly burdensome, among other objections. In its Motion, Complainant does not articulate a relevant and proportional basis for these documents to support its claims for alleged violations of the Shipping Act.

Respondents assert similarly meritorious objections to Complainant’s Interrogatory No. 4—which asks Respondents to “describe” virtually the same documents relating to Respondents’ corporate records. That interrogatory also calls for a narrative response, which is more appropriate for a corporate deposition – a deposition that Complainant has completed. Respondents allowed all of Complainant’s questions about the relationship between Omni and Epic during the two-day depositions. At this stage, Complainant’s request to compel an interrogatory response is moot.

Complainant's Request for Production No. 3 to each Respondent seeks "all documents and communication sufficient to show Respondents' ownership and ownership structure." Respondents objected to this request as irrelevant and not proportional to the needs of the case, because it seeks the discovery of private, confidential commercial information. Moreover, as Respondents have admitted that "Epic is a wholly owned subsidiary of Omni" (Answer, ¶ 14), there is no proportionate need for further document production to establish ownership structure. Plaintiff makes no showing why it needs further documents on ownership, especially where the Respondents' depositions covered these topics. (See, e.g., Exhibit B to Confidential Declaration of Tiffany N. Compres in support of the Motion (deponent discussing terms of Omni's acquisition of Epic).)

Complainant's Request for Production No. 4 seeks:

All documents and communication, including, but not limited to, agreements, understandings, engagement letters, contracts, between Respondents relating to their provision of services to each other, including but not limited to, issuance of invoices, documents or communications concerning carriage of cargo, and making arrangements for carriage of cargo.

Respondents again objected to this request as irrelevant and overly broad. Since responding to this request on June 22, 2023, however, and notwithstanding Respondents' objections, Respondents confirmed in writing that no agreements responsive to this request exist, which Respondents advised Complainant on September 22, 2023.

More importantly, as to each of these discovery requests, Complainant has already had the opportunity to question Respondents extensively about these subjects over two days of depositions. The primary document memorializing the transaction between Omni and Epic is a lengthy, nearly 200-page document setting forth recitals, warranties, and the like, none of which are relevant to Complainant's claims. That agreement is not prospective in nature, nor does it discuss specific

customer accounts like TPG, contrary to Plaintiff's mere speculation that the acquisition agreement "may" describe "the role each Respondent played in the events leading to this litigation." (Motion, p. 4) . Certain parties to that agreement are individuals who have no connection to this action whatsoever. Respondents are privately held companies and go to great lengths to maintain the confidentiality of these highly sensitive commercial documents. To the extent any of the terms of that agreement are relevant to this dispute (which Respondents do not concede), Complainant has already discovered that information in the depositions.

Finally, Complainant's suggestion that Respondents' underlying motive is a sinister ploy to "protect Omni Logistics from liability by shifting responsibility for the transportation of the Complainant's cargo to Epic Freight," in order to deprive Complainant of any ultimate award against Epic, is unfounded.² Respondents have simply taken the position that Epic performed the services on behalf of Complainant because it is true. Epic existed—and still exists—as a going concern throughout the entirety of Complainant's relationship with Respondents, and Epic, not Omni, is the party that performed the services for Complainant, with the exception of a few discrete services performed by Omni (which are not addressed under the document in question).

Moreover, to the extent Complainant seeks discovery to determine Epic's ability to pay any reparations award in this matter, "a party's financial solvency is generally *not* relevant pre-judgment." *Trace Staffing Solutions, LLC v. Manufacturers Alliance Ins. Co.*, 2018 WL 5046082, at *2 (S.D. Georgia Oct. 17, 2018) (denying defendant's motion to compel where "defendant's discovery [was] keyed to figuring out who can pay what they contend they are owed, seeking to

² Complainant's suggestion that the documents will reveal Epic's "financial incentive" to allegedly improperly invoice Complainant is likewise unfounded. Epic is a for-profit business, and its goal is to make a profit, just like Complainant. Nevertheless, the evidence will demonstrate that Epic was not making large profits, if any, through its relationship with Complainant, and the demurrage and detention charges that are the subject of Complainant's Amended Complaint were merely pass through charges.

troll through plaintiffs' organization history, ownership, management, transactions, and assets for the past five years," and holding that "[s]uch a search is premature and unnecessary to the dispute at hand: whether the Worker's Compensation insurance premiums were calculated correctly to begin with and whether additional payments are owed."); *Liberty Ins. Corp. v. Southwest Traders, Inc.*, 2013 WL 12150335 at *2 (C.D. Cal. Aug. 27, 2013) ("whether Southwest can afford to pay, Southwest's general financial condition, [etc.] are simply not relevant" to the determination of how much is owed.). Thus, Complainant's concern that it may not be able to recover any ultimate award from Epic does not support its supposed need for this discovery.

IV. Complainant is not Entitled to Attorneys' Fees or Costs.

Complainant's request for attorneys' fees and costs associated with preparing the Motion is flatly contradicted by the law and Commission precedent. Indeed, "[a]lthough the Shipping Act grants the Commission the power to award attorney's fees in connection with a reparation award, 46 U.S.C. § 41305, it does not grant the Commission the power to award attorney's fees in connection with a discovery dispute." *Streak Products, Inc. et al. v. UTI United States, Inc.*, Docket No. 13-04, 2014 WL 5316341 (F.M.C.), at *23 (April 7, 2014) (emphasis added) (citing *Congressional Research Service: Awards of Attorneys' Fees by Federal Courts and Federal Agencies*, at 24 (updated June 20, 2008) (available at <http://www.fas.org/sgp/crs/misc/94-970.pdf>, last visited Apr. 4, 2014) ("Before an agency may order a litigant to bear his adversary's expenses, 'it must be granted clear statutory power by Congress.'") (quoting *Turner v. FCC*, 514 F.2d 1354, 1355-1356 (D.C. Cir. 1975)).

Accordingly, even if the Presiding Officer were to grant the Motion, the Presiding Officer cannot award Complainant attorneys' fees or costs associated with the Motion.

V. Conclusion.

Complainant's belated Motion should be denied as the Motion is the very definition of a fishing expedition. Respondents reasonably object to production of irrelevant, sensitive commercial documents that have no bearing on Plaintiff's claims. After previously limiting the scope of its requests and waiting four months to file this Motion, Complainant has failed to articulate its need for such documents, other than by pointing to the information it has *already* learned in the depositions of Respondents' corporate representatives.

Respectfully submitted,

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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 27th day of October, 2023, a true and correct copy of the foregoing was served via electronic mail on:

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